5. **Utilization of Reserve:** Lastly, the auditor has to ensure that reserve is utilized for the special purpose for which they are created.

3. CAPITAL RESERVE



A reserve which is created out of capital profits of a company is called as a Capital Reserve. It is defined in Part III of Schedule VI of the Companies Act as, "any reserve which cannot legally be distributed amongst the shareholders". Capital profit refers to the following:

- Profits on sale of fixed assets
- Profits on revaluation of fixed assets and liabilities
- Profits earned prior to incorporation of a company
- Profits made in purchasing a business
- Profits on redemption of debentures at a discount
- Premium received on issue of shares or debentures
- Profits earned from forfeited shares and re-issue of forfeited shares
- Exceptional profits not earned during regular course of business.

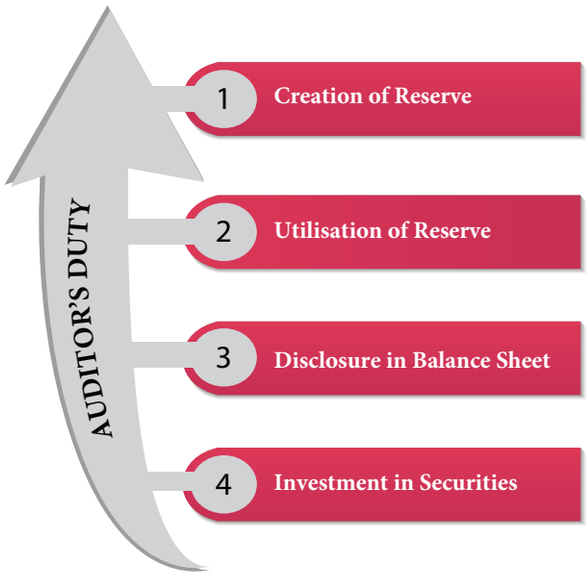
Capital profits should not be utilized in distributing dividend to the shareholders but should be kept aside to strengthen the financial position of the company and to meet capital or abnormal revenue losses.

Objects of creating Capital Reserve

Capital Reserves are utilised for the following purposes:

1. To issue bonus shares to the shareholders subject to the Articles of Association of the company.
2. To write off intangible assets of the company like goodwill, preliminary expenses etc.
3. To provide for premium payable on the redemption of debentures or redeemable preference shares.
4. To write off discount allowed, commission paid or expenses incurred on the issue of shares and debentures of the company.

AUDITOR'S DUTY



1. **Creation of Reserve:** The auditor should ensure that the reserve is created only out of the capital profits of the company.
2. **Utilisation of Reserve:** He should verify that the reserve is utilized according to the provisions of the Companies Act and the Articles of Association of the company.
3. **Disclosure in Balance Sheet:** Auditor should examine whether capital reserve has been shown separately from the revenue reserve in the Balance Sheet.

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